

Solvency Capital Requirement - General Provisions

Source: <https://www.prarulebook.co.uk/prarules/solvency-capital-requirement---general-provisions/03-03-2026>

Effective Date: 03-03-2026

Type: PRA Rule

Scraped: 2026-03-02 20:51

1

Application

1.1

Unless otherwise stated, this Part applies to:

1. (1) a _UK Solvency II firm_ ;
2. (2) in accordance with Insurance General Application 3, the _Society_ , as modified by 6 to 8; and
3. (3) in accordance with Insurance General Application 3, _managing agents_ , as modified by 8.

2

Requirement to Hold Eligible Own Funds Covering the SCR

2.1

A _firm_ must hold _eligible own funds_ covering its _SCR_.

[Note: Art. 100 of the _Solvency II Directive_]

3

General Provisions for the Calculation of the SCR

3.1

A _firm_ must calculate its _SCR_ either in accordance with the _standard formula_ or using an _internal model_ for which __internal model permission has been granted.

[Note: Art. 100 of the _Solvency II Directive_]

3.2

A _firm_ must calculate its _SCR_ on the presumption that it will pursue its business as a going concern.

[Note: Art. 101(2) of the _Solvency II Directive_]

3.3

A _firm's_ _SCR_ :

1. (1) must be calibrated to ensure that all quantifiable risks to which the _firm_ is exposed are taken into account, including at least the non-life _underwriting risk_ , life _underwriting risk_ , health _underwriting risk_ , _market risk_ ,

credit risk, and _operational risk_;

2. (2) must cover existing business, as well as the new business expected to be written over the following 12 _months_ ; and

3. (3) with respect to existing business, must cover only unexpected losses.

[Note: Art. 101(3) of the _Solvency II Directive_]

3.4

A _firm's_ _SCR_ must correspond to the value-at-risk of its _basic own funds_ subject to a confidence level of 99.5% over a one-year period.

[Note: Art. 101(3) of the _Solvency II Directive_]

3.5

When calculating the _SCR_ , _firms_ must take account of the effect of _risk-mitigation techniques_ , provided that _credit risk_ and other risks arising from the use of _risk-mitigation techniques_ are properly reflected in the _SCR_.

[Note: Art. 101(5) of the _Solvency II Directive_]

3.6

Notwithstanding 3.2 to 3.5, a _firm's_ _SCR_ shall not cover the risk of loss of _basic own funds_ resulting from changes to the _volatility adjustment_.

[Note: Art. 77d(6) of the _Solvency II Directive_]

4

Frequency of Calculation of the SCR

4.1

A _firm_ must calculate its _SCR_ and report the result of that calculation to the _PRA_ at least once a year.

[Note: Art. 102(1) of the _Solvency II Directive_]

4.2

For the purposes of 2.1, a _firm_ must hold _eligible own funds_ which cover its last reported _SCR_.

[Note: Art. 102(1) of the _Solvency II Directive_]

4.3

A _firm_ must monitor the amount of its _eligible own funds_ and its _SCR_ on an ongoing basis.

[Note: Art. 102(1) of the _Solvency II Directive_]

4.4

If a _firm's_ risk profile deviates significantly from the assumptions underlying its last reported _SCR_ , the _firm_ must recalculate its _SCR_ without delay and report it to the _PRA_.

[Note: Art. 102(1) of the _Solvency II Directive_]

4.5

Where there is evidence to suggest that the risk profile of a _firm_ has altered significantly since the date on which the _SCR_ was last reported by it, if so requested by the _PRA_, the _firm_ must recalculate its _SCR_.

[Note: Art. 102(2) of the _Solvency II Directive_]

5

Capital Add-on

5.1

A _firm_ must make every effort to remedy the deficiencies that led to the imposition of a _capital add-on_ arising as a result of an _internal model significant risk profile deviation_ or a _significant system of governance deviation_.

[Note: Art. 37(3) of the _Solvency II Directive_]

5.1A

A firm must be able to, upon request by the PRA, submit a progress report to the PRA setting out the measures taken, and the progress made, to remedy the deficiencies that led to the imposition of a capital add-on arising as a result of an internal model significant risk profile deviation or a significant system of governance deviation.

5.2

Except as provided in 5.3, the _SCR_ prior to the imposition of the _capital add-on_, together with the amount of the _capital add-on_ imposed by the _PRA_, will constitute the _firm's SCR_.

[Note: Art. 37(5) of the _Solvency II Directive_]

5.3

For the purposes of calculating the _risk margin_, the _SCR_ of a _firm_ must not include any _capital add-on_ imposed as a result of a _significant system of governance deviation_.

[Note: Art. 37(5) of the _Solvency II Directive_]

6

Requirement to Hold Eligible Own Funds: Lloyd's

6.1

This Chapter applies to the _Society_.

6.2

The _Society_ must ensure that _eligible own funds_ are held at Lloyd's covering its _SCR_.

6.3

Eligible own funds covering the _central requirement_ must be _eligible own funds_ attributable to the _Society_.

6.4

Where the _standard formula_ is used by the _Society_ to calculate the _SCR_ for Lloyd?s, the _Society_ must carry out the following process before it will be taken to have demonstrated that 6.2 is met:

1. (1) _own funds_ attributable to a _member_ are to be compared with the _member?s_ notional _SCR_ derived pursuant to 8.4;
2. (2) where the _own funds_ attributable to the _member_ are less than or equal to that _member?s_ notional _SCR_ , such _own funds_ (but no additional _own funds_ attributable to that _member_ , including any _own funds_ which are greater than the _member?s_ notional _SCR_) are to be taken into account for the purposes of establishing compliance with 6.2; and
3. (3) to the extent the _own funds_ attributable to the _member_ are less than that _member?s_ notional _SCR_ derived pursuant to 8.4, the _Society_ must hold _own funds_ in respect of the difference.

6.5

Where the _Society_ uses an _internal model_ for which internal model permission has been granted, the _Society_ must also ensure that _eligible own funds_ are held at Lloyd?s covering, for at least 99.5% of the scenarios taken into account in the _internal model_ for the purposes of meeting Solvency Capital Requirement - Internal Models 12.2, any diminution in _own funds_ at Lloyd?s arising from the impact of those scenarios.

6.6

Where an _internal model_ for which internal model permission has been granted is used by the _Society_ to calculate the _SCR_ , for the purpose of meeting the requirement set out in 6.2, the _Society_ may take account of _own funds_ attributable to a _member_ only to the extent of the diminution, if any, to those _own funds_ resulting from the application of risk scenarios taken into account in the _internal model_.

7

General Provisions for Calculation of the SCR: Lloyd?s

7.1

This Chapter applies to the _Society_.

7.2

In calculating the _SCR_ for Lloyd?s, the _Society_ must ensure that the _SCR_ is calibrated so as to include:

1. (1) all quantifiable risks to which _members_ are exposed as a consequence of those _members_ carrying on _insurance business_ at Lloyd?s; and
2. (2) all quantifiable risks to which the _Society_ is exposed, including risks to the _central assets_ and _central liabilities_ ;

in the manner required by 3 (and, where an _internal model_ is used, in accordance with the Solvency Capital Requirement - Internal Models Part of the _PRA_ Rulebook and where the _standard formula_ is used, in accordance with the Solvency Capital Requirement - Standard Formula Part of the _PRA_ Rulebook).

7.3

The _Society_ must calculate a _central requirement_ for Lloyd?s which meets 7.2(2).

7.4

The _central requirement_ must take account of the risk that the _central assets_ may be used to meet deficiencies (as

to amount or quality) in _own funds_ attributable to _members_ , such _own funds_ supporting _members?_ _insurance business_ at Lloyd?s.

8

Syndicate Notional SCR and Member Notional SCR: Lloyd?s

8.1

This Chapter applies to _managing agents_ and, where specified, the _Society_.

8.2

A _managing agent_ must calculate a notional _SCR_ for each _syndicate_ which it manages.

8.3

The notional _SCR_ for each _syndicate_ referred to in 8.2 must be calculated using a methodology which is consistent with the method used by the _Society_ to derive the _SCR_ for Lloyd?s for the purposes of enabling the _Society_ to comply with the relevant provisions of this Chapter.

8.4

The _Society_ must calculate a notional _SCR_ for each _member_ using the method of calculation chosen to calculate the _SCR_ for Lloyd?s for the purpose of 3.1.

8.5

Where a _managing agent_ manages risks which are included in the Lloyd?s _SCR_ calculation, the _managing agent_ must promptly assist and provide all relevant information to the _Society_ for the purposes of the _Society_ complying with relevant provisions of _SCR Rules_.